

STUDY GUIDE

The Confluence Trading Guide

Market structure, areas of interest and entry confirmation, explained step by step.

A plain-English guide to one complete way of trading forex, built from fxalevg's 10-hour trading course. Every rule has a picture, an example, and a place on the final checklist.

Educational summary only. Not financial advice. Trading leveraged products such as forex can lose you more than you expect, including all of your deposit. This is an unofficial study guide. It is not affiliated with or endorsed by the course creator. Any results mentioned are the creator's own claims and have not been verified.
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How to use this guide

This guide turns a 10-hour video course into something you can read in an evening and use at your desk. It keeps the course's own method and wording, and explains each step in plain language.

If you are new

Read Parts 1 to 4 first. They give you the big picture, the basic words and the setup. Then read Parts 5 to 10 in order, because each step builds on the last.

If you just want to trade it

Keep Part 12 (the one-page checklist) next to your screen. Come back to the earlier parts when a word or rule is unclear.

How the boxes work

RULE

A rule from the course.

WATCH OUT

A common mistake or a risk.

EXAMPLE

A worked example.

The diagrams are illustrations, not real prices. Candles are drawn **blue for up** and **red for down**, like the creator's own charts. Prices quoted in examples were read off his charts and are approximate.

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PART 1

The big idea

The whole strategy fits in one sentence: **do nothing until three things line up, then place the trade, set your stop and target, and leave it alone.**

1

Market structure

Is the market going up or down?

Read it on the weekly, daily and 4-hour charts. Only trade in the direction of the trend.

2

Area of Interest (AOI)

Where might price react?

A support or resistance zone on the weekly or daily. No AOI at the current price means no trade.

3

Entry signal

Has price confirmed it?

A candle or pattern at the AOI that points the same way as the trend.

The course calls this **confluence trading**: having the most reasons to take (or skip) a trade. Extra reasons make a trade better but are never required. Examples are a pattern such as head and shoulders, a bounce off the 50 EMA line, a round price number, or a previous support or resistance level. The creator's own view is that more reasons means a lower-risk trade, and no trade is ever guaranteed.

The nine checks, in order

Every trade idea goes through these gates. If a gate fails, the answer is simply "no trade, next pair".

#	Check	Plain question	Passes when	Part
1	Pair	Is this one of my pairs?	It is on your watchlist and on this week's shortlist	3, 11
2	Time	Is it the right time of day?	Inside the 1:00 to 10:30 AM New York window, not the Sydney or Tokyo session	4
3	Structure	Up or down on each chart?	You have a clear bullish or bearish read on weekly, daily and 4H	5
4	Agreement	Do the charts agree?	Two timeframes in a row agree (weekly + daily, or daily + 4H)	6
5	Zone	Where is price trapped?	You have marked the HH-HL (up) or LH-LL (down) boundaries	6
6	AOI	Is price at a zone that matters?	Price is at a valid AOI inside that zone	7
7	Signal	Has price confirmed it?	A confirmation candle or pattern prints at the AOI, in trend direction	8

#	Check	Plain question	Passes when	Part
8	Plan	Is the trade worth it?	Stop just beyond the level, target at the next structure point, reward at least twice the risk	9
9	Size	How big?	Lot size set from the money you accept to lose and the stop distance	9

The mindset rules

- **Trade with the trend.** "The trend is your friend." Never try to pick the top or the bottom.
- **Fewer, better trades.** Money is made by entering the right trade at the right spot, not by being busy. Every extra trade is extra risk.
- **You are never obliged to trade.** He compares it to a baseball batter who only swings at the perfect pitch. Waiting is part of the strategy.
- **Decide before you enter.** The stop, the target and the amount at risk are all fixed before you click.
- **Set and forget.** After you enter, you leave the trade alone until it hits the stop or the target.
- **Use alerts, not guesses.** Set a price alert at the level you are waiting for, step away, and check when it rings.

PART 2

Forex basics you need

Currency pairs: who is winning the fight?

You always trade one currency against another. In **EUR/USD** the euro is the **base** (first) currency and the US dollar is the **quote** (second) currency. The price tells you how many dollars one euro costs.

If EUR/USD...	It means	You would
goes UP	The euro (base) is getting stronger than the dollar	Buy (bet the base strengthens)
goes DOWN	The dollar (quote) is getting stronger than the euro	Sell (bet the quote strengthens)

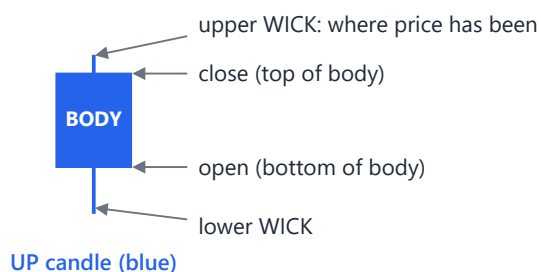
The creator calls this "the fight": two currencies in an endless battle, and the chart is the trail the fight leaves behind. Buying and selling are **equally valid**. A falling market is not less tradable than a rising one.

You never own the currency. You are betting on whether the price will go up or down.

Which pairs?

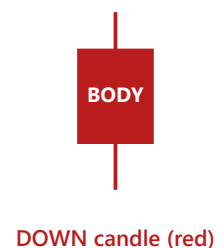
- **The 7 majors** are his preferred pairs: EUR/USD, GBP/USD, USD/JPY, USD/CHF, USD/CAD, AUD/USD, NZD/USD. They move more, cost less to trade, and tend to be "respected" (cleaner reactions, fewer random spikes).
- He also trades crosses such as GBP/CHF, AUD/JPY and NZD/CAD. In total he works with about 15 to 20 pairs (full list in Part 3).
- Exotic pairs have lower volume and big moves are less likely. He sees them as riskier.

Reading a candle



The next candle opens where this one closed.

He reads structure from **BODIES**. Wicks are only "where price has been".



- A candle is one period of time (for example 4 hours). It shows where price **opened**, **closed**, and the highest and lowest points it reached.
- The thick part is the **body** (open to close). The thin lines are **wicks**. A wick is a record of where price has been.

- A wick usually means **rejection**: price went there and was pushed back. Wicks are respected on every timeframe.
- The next candle opens where the last one closed.

THE RULE THAT RUNS THROUGH THE WHOLE COURSE

Structure is judged by candle bodies, never by wicks. You will see this again in Parts 5, 7 and 8.

Timeframes: choosing your seat

The same market looks different on every timeframe. He compares it to watching a boxing match: the higher the timeframe, the higher your seat in the arena, and the better the view of the whole fight. The weekly chart is the best seat.

Timeframe	Job
Weekly, Daily, 4-hour	The trend timeframes. You read the trend here, and you draw your areas of interest here (weekly and daily).
2-hour, 1-hour, 30-minute, 15-minute	The entry timeframes. "Completely avoided" until you are ready to enter. This is where the entry signal shows up. He never goes below 15 minutes.

A big move on a low timeframe does not change the look of the higher-timeframe candle. When in doubt, judge the move from the higher timeframe.

Pips

A **pip** is the standard small unit of price movement. For most pairs it is the 4th decimal place (0.0001). For pairs with the Japanese yen it is the 2nd decimal place (0.01). Example: EUR/USD moving from 1.1700 to 1.1720 is 20 pips. You use pips to measure stop sizes and the height of an AOI.

Trading styles

He describes four styles by how often you trade: position trader (1 to 2 trades a month), swing trader (4 to 5), day trader (8 to 12) and scalper (14 to 25). His own approach is a **hybrid of swing and day trading**: swing-style higher-timeframe analysis and bigger targets, with the sharp entries of a day trader.

PART 3

Your chart setup

Three tools, three jobs

Tool	What it is for
TradingView	Analysis. Charts, drawing, alerts. He spends 90 to 95% of his time here. It shows the raw market price.
A broker	"The bank". Holds your money. It adds a small fee (the spread) to the price.
MetaTrader 5	Execution. You only open it to press buy or sell, with the lot size, stop and target already decided.

Because the broker adds a spread, a new trade starts slightly negative. That is normal.

Setting up the chart

- 1 Use candlesticks** for trading and patterns, and the **line chart** for reading structure. Ignore bar charts and everything else.
- 2 Remove the volume bars.** He never uses them.
- 3 Add the indicator "No gaps candles"** (a free community indicator). It fills the gaps between candles so every candle opens at the previous close. Then switch off the chart's own candles (untick body, borders and wick in the chart settings) so only the gap-free ones show. His candles are blue when up and red when down.
- 4 Add one moving average: the 50 EMA.** It is the only other indicator he uses. It acts as a moving support or resistance line: when price is above it, it acts as support; below it, resistance. It is a "cherry on top", never a requirement.
- 5 Star your timeframes** so they sit in the top bar: 15m, 30m, 1h, 2h, 4h, daily, weekly. Nothing else.
- 6 Chart time zone:** New York (UTC-4 in summer). All his clock times are New York time.

Drawing tools he uses (and ignores)

Uses	Ignores
- Horizontal line and horizontal ray (levels) - Rectangle for zones, with a light fill of about 4 to 5% so you can still see the price - Trend line (only to help find structure points) - Long and short position tool (shows risk versus reward) - Head and shoulders tool, path, ellipse, text, measure tool Price alerts at key levels	- Fibonacci tools - Pitchforks - Other chart patterns - The "buy/sell" gauge, seasonals and other side panels - Back-testing (he prefers live testing)

His watchlist

He keeps a fixed list of the markets he trades and never edits it. The forex pairs on it:

USD pairs	EURUSD, GBPUSD, AUDUSD, NZDUSD, USDJPY, USDCAD, USDCHF
GBP crosses	GBPJPY, GBPCHF, GBPCAD, GBPAUD, GBPNZD, EURGBP
Other crosses	EURJPY, EURAUD, AUDJPY, AUDCHF, AUDCAD, NZDJPY, NZDCAD, CADJPY

He also keeps a few non-forex markets (oil, bitcoin, ethereum and others). This guide covers forex only.

How you place orders

- **Market execution only.** You enter immediately at the current price, with the stop and target already typed in.
- **No pending orders** (buy limit, sell limit, buy stop, sell stop). He does not believe in entering "without confirmation". Instead you set an alert at the area and decide when price gets there.

PART 4

When to trade

Forex is open 24 hours a day, five days a week, but not every hour is worth trading. His rule is to be in the market only when the big sessions are active.



Times are New York time, as in his session graphic. Bar edges are approximate (he calls the graphic "a bit inaccurate").

THE TIME RULES

- **Do not trade during the Sydney or Tokyo sessions.** There is little volume and little movement.
- **Trade roughly between 1:00 AM and 10:30 AM New York time.** (He says "10:00" in places. The marker he drew sits at about 10:30.)
- **No new trade after about 10:30 AM.** He has not taken one later in about four years.
- **Best moments to enter:** just before London opens (pre-London), in the middle of London, or just before the volatility fades around 9 to 10 AM at the end of the London and New York overlap.

Why this window

- London opens at 3:00 AM and New York at 8:00 AM. Where they overlap, volatility is highest.
- After about 12:00 PM there is little movement for roughly 10 hours. A trade opened at noon just sits there, and holding past the 5:00 PM market close can add swap or commission costs.
- He starts his **pre-London analysis at 1:00 AM.**
- Pairs with the US dollar get "double the volatility" from the London open into the New York open, because the dollar side wakes up at the New York open.
- The window applies to every pair, not only USD pairs.

WATCH OUT

Being inside the window is **not** a reason to trade. It only means you are allowed to. The strategy still has to say yes.

His own session graphic shows Sydney lasting until about 2 AM and Tokyo until about 4 AM, which overlaps his 1:00 AM start. He treats the "pre-London" hours as tradable anyway. This is one of the small inconsistencies in the course (see Part 13).

News

He checks a calendar called **Forex Factory** for the date, time and impact of news. Only the **red folder** (high-impact) events matter; he ignores yellow and grey, and orange is less important. He does not change his strategy around news and does not use news to create a strategy: for him, price action decides, and fundamentals are only an added reason. Occasionally he sits out a big speech or event.

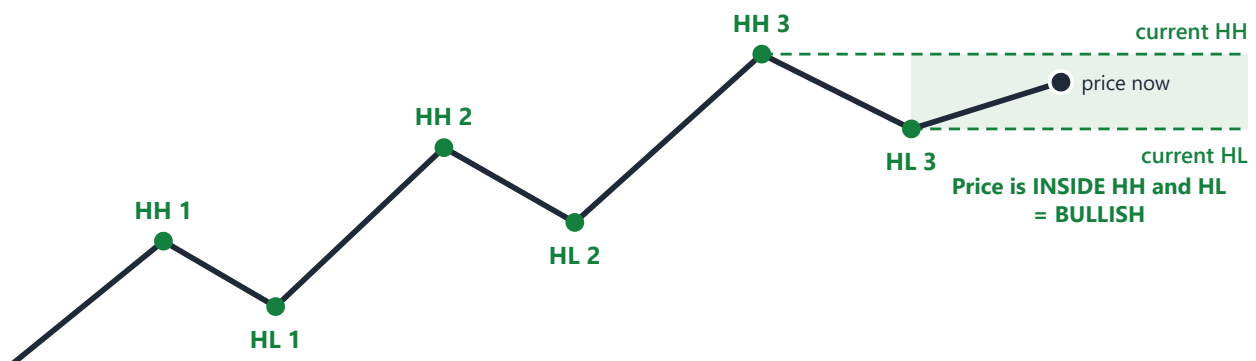
PART 5

Market structure

Market structure is the most important skill in the course. He calls it "the core foundation of everything else". Everything below it (zones, entries, patterns) depends on getting this right.

Up or down? Highs and lows decide.

BULLISH structure: higher highs + higher lows



Illustration, not real price. Each turning point (an "elbow") is a structure point.

BEARISH structure: lower lows + lower highs



Illustration, not real price. Each turning point (an "elbow") is a structure point.

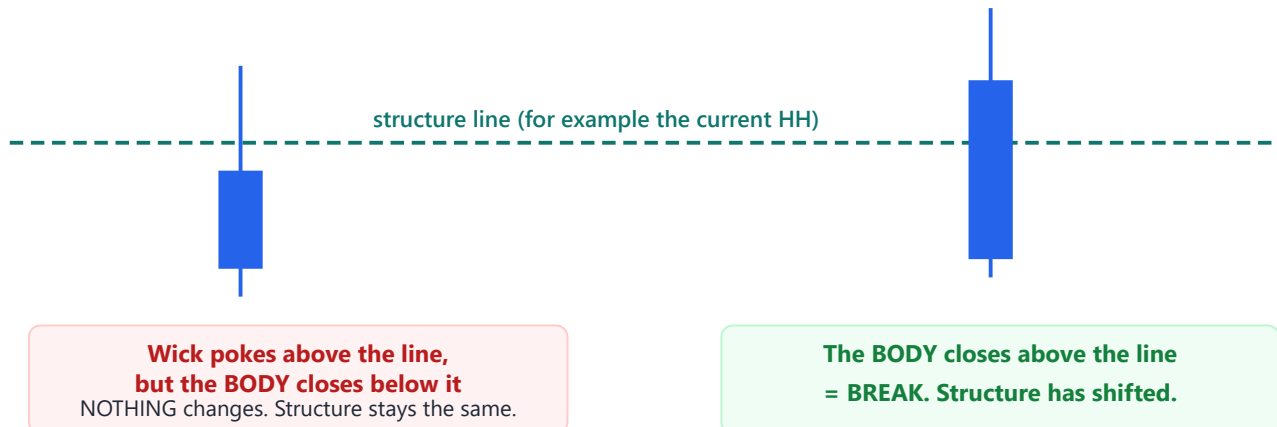
- **Bullish** = the market is making **higher highs (HH)** and **higher lows (HL)**. Each push goes higher, and each pullback stops higher than the last.
- **Bearish** = the market is making **lower lows (LL)** and **lower highs (LH)**.
- These turning points are called **structure points** or "elbows". Think of them as the bends in a road.
- You can only call the market bullish or bearish **after you have placed these points**. Price level alone tells you nothing: a pair at its lowest price is bearish because of its lower highs and lower lows, not because it is low.

"INSIDE" THE STRUCTURE

As long as price stays **between the current HH and HL**, the market is bullish. As long as it stays **between the current LH and LL**, it is bearish. Nothing changes until something breaks.

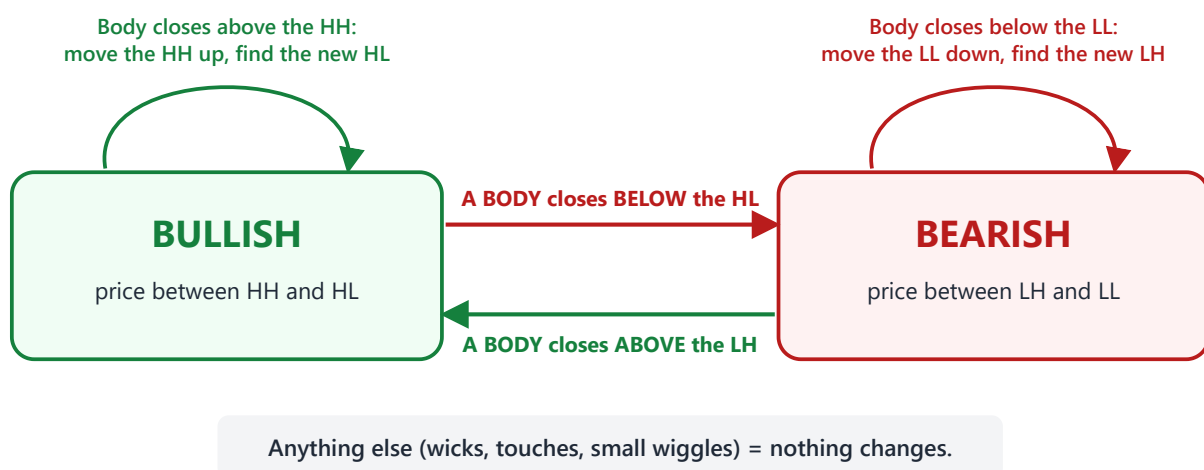
What counts as a break?

Only a closed candle counts, and only its body. Touches, near misses and wicks do not.



- A break counts only when a **candle body closes** beyond the level.
- Wicks do not count. Touching a level does not count. Getting close ("three touches") does not count.
- The candle must be **closed**. A candle still forming can change completely before it ends.
- A small body-close break still counts. He gives no minimum size.

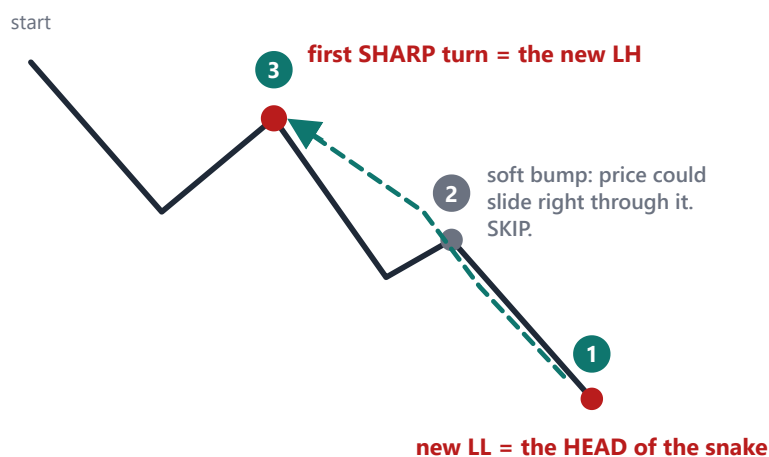
The four situations



You are...	A candle body closes...	What happens
Bullish	above the HH	Still bullish. The HH moves up to the top of the push. A new HH always brings a new HL (use the snake trick, below).
Bullish	below the HL	The bias flips to bearish. The lowest point of the move is the new LL, and you find the new LH with the snake trick.
Bearish	below the LL	Still bearish. The LL moves down. A new LL always brings a new LH.
Bearish	above the LH	The bias flips to bullish. The new high is the HH, and you find the new HL with the snake trick.

The snake trick: finding the paired point

After a new extreme appears, you need to place its partner (the new LH after a new LL, or the new HL after a new HH). The "snake trick" does it in three moves.



Walk BACKWARDS from the head.
The first clean turn is the paired point.

New LL: find the LH

New HH: find the HL

(mirror image, same walk-back)

Illustration, not real price.

- 1 Start at the head of the snake:** the new extreme (the new LL, or the new HH).
- 2 Walk backwards** along price.
- 3 The first clean, sharp turn** is the partner. Skip soft bumps: if the snake could "slide right through" a small wiggle without really turning, it is not a structure point.

A single-candle pullback usually does not count unless it is a clear, strong candle (for example an engulfing candle that "makes a statement"). If a small bump and a sharper turn both exist, he chooses the sharper, cleaner one. He admits there is no perfect rule here: it takes practice and some judgement.

Use the line chart, then draw on the bodies

- 1 Switch to the line chart.** It shows only closing prices, so the elbows are easy to see. He calls it his "cheat sheet".
- 2 Find and label the structure points.**

- 3 Switch back to **candlesticks** and move each line to the **body** of the candle (not the wick tip).
- 4 Check each point has a visible "elbow" on the candles. If the candles show no turn, do not count it.

Confirmed or current?

A new HH or LL is only **current** while its candle is still open or price is still pushing. It becomes **confirmed** once the candle has closed and price has pulled back or stopped. Until then, keep sliding the line along with the latest extreme.

How far back to look

Timeframe	Look back at most
Weekly	5 to 6 years
Daily	1 to 2 years
4-hour	6 to 12 months

Read the history once. After that you only track the live HH and HL (or LH and LL) and wait for something to break. Keep the chart at a healthy zoom: not so zoomed out the candles are tiny, and not so zoomed in that you only see the last five candles. Structure is different on every timeframe.

EXAMPLE: A QUICK FLIP ON THE EURUSD 4-HOUR CHART

The market is bullish. The HL sits at about 1.1713. A 4-hour candle closes at about 1.1697, **below** the HL. The market is now bearish, and the old rally top becomes the lower high. Later in the same replay, a large blue candle closes **above** the lower high and the market is bullish again. On one stretch of this chart the bias went bearish, bullish, bearish and bullish again within about 12 hours (three 4-hour candles). This is why you wait for each candle to close before deciding. (Prices read off his chart.)

COMMON MISTAKES

- Counting a wick as a break.
- Acting on a candle that has not closed yet.
- Calling the trend from the price level instead of the highs and lows.
- Counting every tiny wiggle as a structure point.
- Forgetting to move the partner point when a new HH or LL appears.
- Zooming so far out (or in) that you can no longer read the candles.

PART 6

Top-down analysis

One chart is never enough. You read the structure on three timeframes, check that they agree, and only then look for a trade.

The steps

- 1 **Read the weekly.** Bullish or bearish? Mark its HH and HL (or LH and LL).
- 2 **Read the daily.** Same job. If the daily has moved on inside the weekly structure, use the recent daily action for the daily call.
- 3 **Read the 4-hour.** Same job.
- 4 **Check agreement** (next section).
- 5 **Mark the zone.** Draw the HH, HL, LH and LL lines of each timeframe on your chart. Price is now "trapped" between them, and that area is the only part of the chart you look at.

Do the timeframes agree?

You need **two timeframes in a row** pointing the same way: weekly and daily, or daily and 4-hour. Weekly and 4-hour alone do not count, because the daily sits between them.

Weekly	Daily	4H	Verdict
Up	Up	Up	Best case. All three agree: "not a high-risk trade". Look for buys.
Up	Up	Down	Weekly and daily agree. Either take the extra risk, or wait for the 4H to turn up.
Down	Up	Up	Daily and 4H agree, so it is allowed. Weekly disagrees, so treat it as higher risk.
Up	Down	Up	Skip. Weekly and 4H match but not two in a row. This is not "in sync".
Down	Down	Down	Best case for sells. Mirror of the first row.

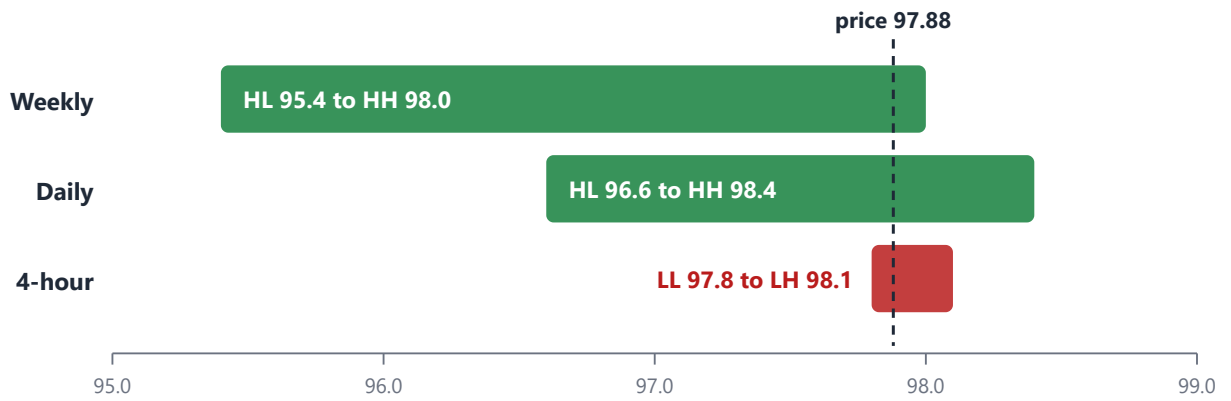
This check alone removes about half of the markets on his watchlist every week.

Trapping price: the zone

Once you know the direction, draw the lines that trap price:

- **Bullish:** the zone is between the HH (top) and the HL (bottom).
- **Bearish:** the zone is between the LH (top) and the LL (bottom).

You only look for trades **inside the zone**. This is the area where the market is valid for buying (if bullish) or selling (if bearish). If price drops below a bullish HL, the zone no longer exists, because the market has turned bearish.



AUDJPY example (approximate levels). Green = bullish zone, red = bearish zone.

EXAMPLE: AUDJPY (SEPTEMBER 2025)

Timeframe	Read	Key levels (approx.)
Weekly	Bullish	HH about 98.0, HL about 95.4
Daily	Bullish	HH about 98.4, HL about 96.6
4-hour	Bearish	LH about 98.1, LL about 97.8 (price about 97.88)

Weekly and daily are in sync, so the market is worth watching for buys. The 4-hour disagrees, so he either takes the extra risk or waits for the 4-hour to turn bullish. He stressed that agreement means "it makes sense to buy", not "buy now". You still need an AOI and an entry signal.

COMMON TOP-DOWN MISTAKES

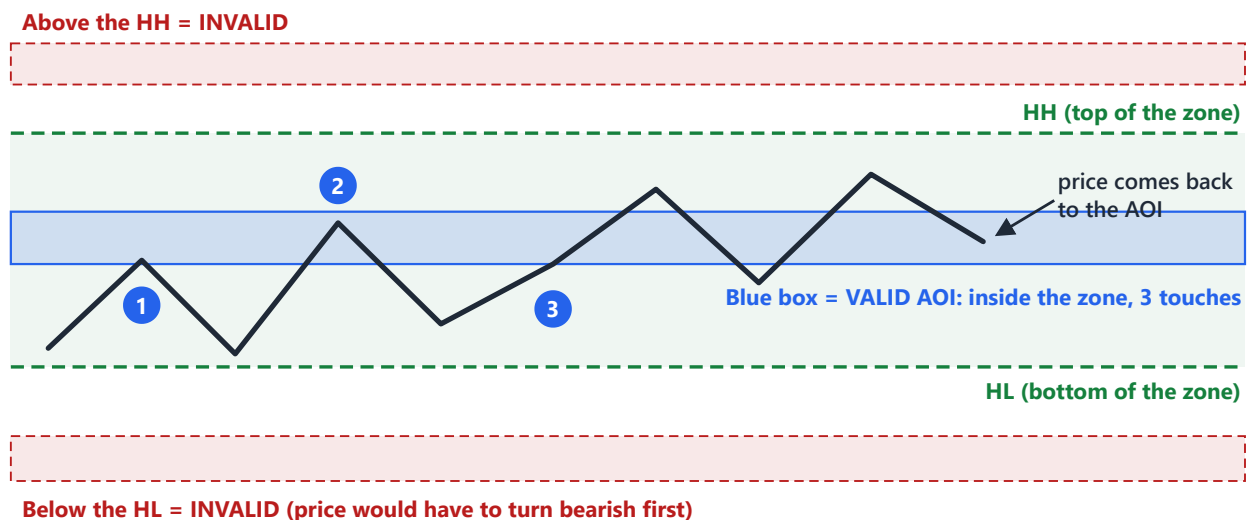
- Comparing the weekly with the 4-hour and skipping the daily.
- Using the 2-hour or lower charts to decide the trend. They are for entries only.
- Treating agreement as a buy signal. It is only permission to keep looking.
- Forgetting that each timeframe has its own HH, HL, LH and LL.

PART 7

Areas of Interest (AOI)

An Area of Interest is a zone where price has reacted before and may react again. He uses one word for support, resistance, supply and demand, and order blocks: **AOI**. "It is all the same thing."

What makes an AOI valid?



- 1 **Inside the zone.** It must sit between the HH and HL (bullish) or between the LH and LL (bearish). Anything outside is invalid.
- 2 **At least 3 touches.** A touch is one clear reaction (a rejection) from the area. Support and resistance touches can be mixed. More touches is better. With fewer than 3, it is not an AOI.
- 3 **Between 5 and 60 pips tall.** Tighter is better; 20 to 35 pips is the sweet spot. Do not stretch the box just to collect more touches.
- 4 **Built from bodies, not wicks.** Count the elbows on the line chart first, then check them on candles. Drop any touch that is not clean. If 3 clean ones remain, the AOI stands.
- 5 **Drawn on the weekly and daily only.** No AOIs on the 4-hour. Weekly AOIs go inside the weekly zone; daily AOIs inside the daily zone.
- 6 **Few of them.** Aim for one, maybe two, at most three. Drop any AOI that sits far away behind another zone price would have to break first.

When weekly and daily overlap

If a weekly AOI and a daily AOI sit on top of each other, merge them into one tight box that still has at least 3 touches on both charts. The overlap means two timeframes agree, which gives a higher-probability area.

EXAMPLE: THE AUDJPY AREAS

After merging, he ended up with two areas where weekly and daily overlap: one at about 97.25 to 97.55 and one at about 96.62 to 96.93 (about 31 pips, sitting on the daily higher low). Price then had to retrace into one of them before he would look for an entry. If forced to pick one, he chose the lower one, because price had broken a previous structure point and then retested it.

How to use an AOI

- **No AOI at the current price = no trade.** You cannot enter unless price is at a valid AOI. If price retraces but never reaches one, move on to the next pair.
- **Buy at support, sell at resistance.** Never buy at resistance or sell at support. To buy from a level, price must be **above** it. If price is below a level, that level is resistance.
- **Support and resistance can swap roles**, but only after a break **and a retest**.
- If price breaks below the AOI you wanted to buy from, **do not buy it**. Wait for price to break back above it and retest it from above.
- An AOI that has been respected 4 or 5 times is more likely to react than one touched once.

Things that make an AOI stronger

In his live trades he often stacked several reasons at the same area:

- a previous daily support or resistance level
- the daily, weekly or 1-hour EMA
- a round psychological number (for example 157.500 or 1.12500)
- the neckline of a head and shoulders or a double top

WATCH OUT

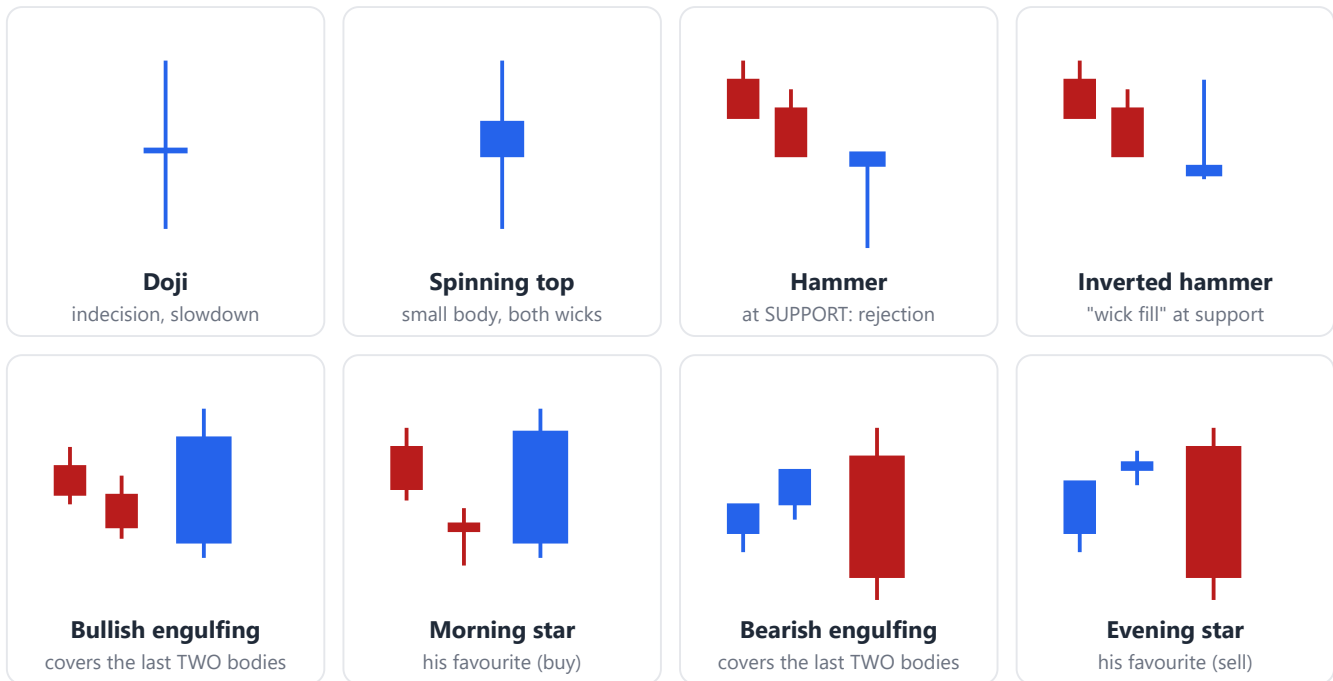
The course gives no exact test for what counts as "one touch" (how close is close enough). It also leaves some choices to your eye, such as which three touches to use. Expect to practise on many charts before your AOIs look like his.

PART 8

Entry signals

At the AOI you wait for confirmation. This part lists the confirmations he uses. They only count **at an AOI, in the direction of the trend**, and on a **closed candle**.

Candle signals

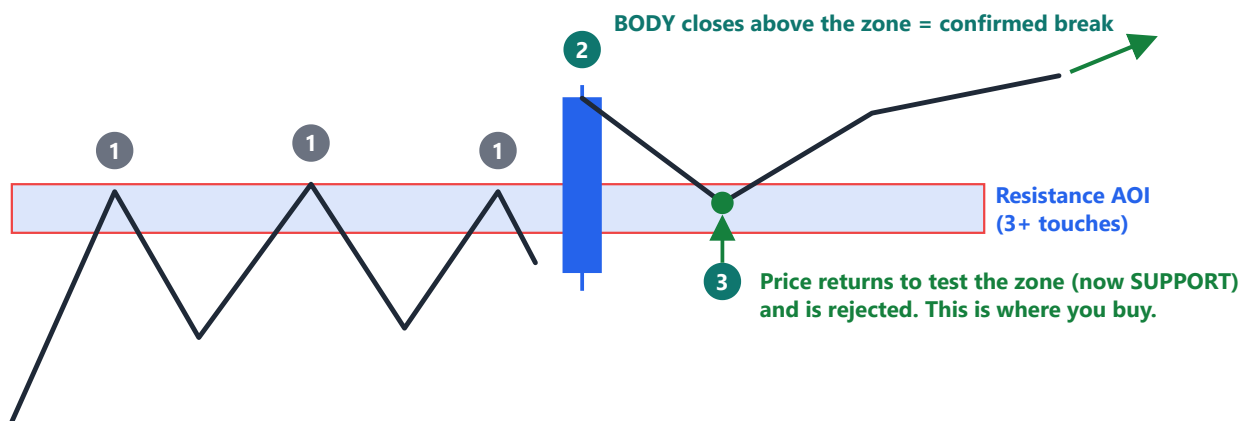


Illustrations. Blue = up candle, red = down candle (the colours on his charts).

Signal	What it looks like	How he uses it
Doji / spinning top	Almost no body (doji) or a small body with wicks on both sides	A slowdown at the AOI after a push. The next candle might engulf. A weak signal on its own.
Hammer	Small body at the top, long lower wick, little or no upper wick	At support: sellers pushed down and buyers closed it back up. A rejection.
Inverted hammer ("wick fill")	Small body at the bottom, long upper wick	At support, the wick is in the trade direction. The next candle is expected to fill it.
Engulfing	The last candle's body covers the bodies of the last two candles	Stronger than the signals above. A tiny hairline beyond the last body still counts. Wicks are ignored.
Morning star / evening star	A doji (or hammer) followed by an engulfing candle covering the last two candles	His favourite. Morning star to buy, evening star to sell. Not useful against the trend.

- The **higher the timeframe, the stronger** the signal. A daily doji at an AOI is "amazing", a 4-hour is good, a 1-hour is okay.
- Gravestone doji, hanging man and shooting star are treated as the same family (the bearish side). Dragonfly doji is treated as a hammer.
- **He rejects:** piercing line, three white soldiers, three black crows and dark cloud cover. "If it's not an engulfing, it's not strong enough."
- A morning star at a resistance, or in a bearish market, is not respected.

Break and retest (his favourite)



- 1 Price keeps getting rejected at the zone
Stop: just below the zone (the idea is wrong if price closes back under it)
Mirror image for a sell below support.

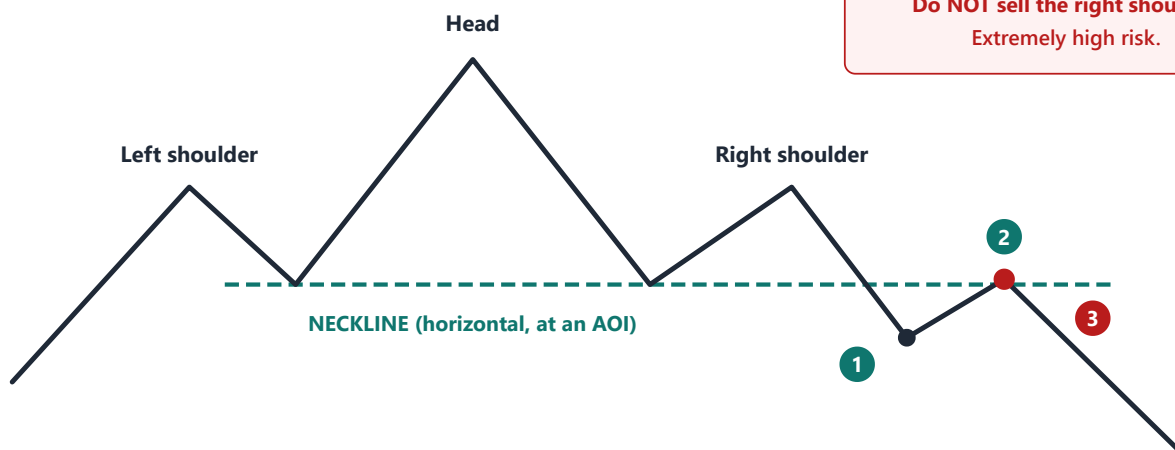
- 1 Price is held at an AOI. A **body closes beyond** the zone. That is the confirmed break.
- 2 Price comes back into the zone and gets **rejected** from it (a wick or body rejection).
- 3 You enter on the far side of the zone (buy above a broken resistance, sell below a broken support), with the stop just beyond the zone.

Breakout is the "little brother": you enter right when the body closes beyond the zone, without waiting for the retest. It is allowed, but it does not count as the break-and-retest confluence. He says that after a breakout it is about 50/50 that price comes back to retest, and he takes the breakout entry only about 30% of the time. If the retest never comes, the trade is missed ("it is what it is").

Break of structure, change of character ("CHoCH") and shift of structure are all the same idea: the break of the HL in an uptrend (or LH in a downtrend).

Head and shoulders

Regular H&S (bearish). The inverted version is the mirror image for buys.



- 1 Body closes below the neckline = structure has shifted
- 2 Price returns to retest the neckline
- 3 **Rejection candle at the retest (shooting star, evening star, bearish engulfing): SELL**
Stop above the retest high. Target at the next structure point.

- 1 The market is bullish and price makes a left shoulder, a higher head, then a right shoulder. Draw it on candle **bodies**. The shape does not need to be perfect.
- 2 The **neckline is horizontal**, at the previous higher low, and it sits at an AOI. (Not the diagonal line the drawing tool gives you.)
- 3 **Do nothing until the neckline breaks** (a body closes below it). Before that it is only a "potential" pattern.
- 4 After the break, find the new LL and LH (snake trick), then look for the AOI between them. The AOI that matches the neckline is your entry zone.
- 5 **Wait for the retest**, then wait for a bearish confirmation (shooting star, evening star, bearish engulfing). Then sell.

DO NOT SELL THE RIGHT SHOULDER

He used to sell at the right shoulder and now calls it extremely high risk. Even a perfect pattern can lose: he showed a losing example on purpose. A pattern that never breaks the neckline is simply not traded.

The **inverted head and shoulders** is the exact mirror image at the bottom of a trend: break above the neckline, retest, then a bullish engulfing or morning star, then buy. A **double top** with a neckline is handled the same way.

Other setups he trades

- **Consolidation breakout.** Price sits in a tight range at an AOI. Do not trade inside the range. Wait for the breakout, then the quick retest with an engulfing or rejection candle, then enter in the breakout direction.
- **Adding to a trade.** Wait for a retest (for a sell, a lower high) in the right session, then add.

THE ENTRY SIGNAL HE DOES NOT EXPLAIN

In the last hours of the course he says there is a specific "entry signal" that he does not discuss, and that he explains only on his livestream. Everything in this part is what he **does** show at the AOI: engulfing candles, stars, rejections, and breaks with retests. Expect the real signal to be something more specific that this guide cannot give you.

What not to do

- Do not enter just because the setup looks close. He lists several trades he skipped and "dodged" in a week.
- Do not enter before the confirmation candle has closed. In one example he entered early, saw the AOI could still be retested, closed the trade, and re-entered later at a worse price.
- Do not trade against the trend. The counter-trend trades he describes both lost.
- Do not use pending orders.

PART 9

Plan the trade: stop, target, size

Step 1: the stop loss

Put the stop **just beyond the level that would prove the idea wrong**. For a sell, a little above the zone or wick; for a buy, a little below. On his recorded NZDUSD trade he put it "10 to 15 pips above the wick", which made the stop about 20 pips from entry. Stops in his examples range from about 20 to 50 pips. There is no fixed pip rule, so the chart decides.

Step 2: the target

Place the target at the **next structure point**: the previous swing low (for a sell) or high (for a buy), or the next 4-hour low. He picks a realistic one, not the furthest one ("we're not going to be greedy").

Step 3: check the reward is worth the risk



His recorded NZDUSD sell (1H view). He later closed it at about 1:5. Picture is schematic.

RISK TO REWARD

- Every trade needs at least **1:2** (the reward at least twice the risk). "No ifs, ands or buts."
- Set it up so that **1:4** is possible, and let it run to there.
- Use TradingView's long/short position tool to read the ratio before you enter: the red box is your risk, the green box is your reward.

Real examples from his charts

Trade	Stop	Plan	What happened
NZDUSD sell	20.2 pips	About 1:2	Ran far past the target; he closed at about 1:5
USDCAD sell	20 pips	70 pips (1:3.5)	Hit the target
GBPCHF sell	about 35 pips	Next 4-hour low	Closed at the target: about 1:2.7 (+102 pips)
NZDCAD sell (H&S)	about 37 to 39 pips	-	Stopped out (a loss)
USDJPY sell (H&S)	-	-	Loss: up about 1:1, then price returned through the stop

Losses are part of the method. Reading these figures as "he wins most trades" would be a mistake: they are examples picked for teaching.

Step 4: the lot size

Decide how much money you accept to lose on the trade, then let the stop distance set the size. He uses a free **lot size calculator** before every entry. You type in the account balance, the risk, the stop in pips and the pair.

THE FORMULA

Lot size = money you risk ÷ (stop in pips × value of one pip per lot)

For pairs where the US dollar is the second currency (EURUSD, GBPUSD, AUDUSD, NZDUSD), one pip on one standard lot is worth about **\$10**.

EXAMPLE: HIS DEMO

Account \$100, risk 10% (\$10), stop 20 pips, EURUSD: $10 \div (20 \times 10) = 0.05$ lot. His calculator gave the same answer.

Our own example: you decide to risk \$20, with a 25-pip stop on GBPUSD: $20 \div (25 \times 10) = 0.08$ lot.

For yen pairs the pip value in dollars is different and changes with the exchange rate. His NZDJPY example (0.17 lot for \$50 at 30 pips) does not match standard yen pip maths, so always use a calculator that converts correctly and check its answer.

How much should you risk?

This is the one number the course never gives for normal trading. What he does say:

- In his "\$100 to \$1,000,000" challenge he risked **100%** of the account at the start, then 60 to 50%, 50 to 40%, and 40 to 35% as the account grew. He never went below 35%.
- He says that as an account grows he lowers risk by 25 to 50%.
- His teaching examples use \$10 on a \$100 account and \$50 on \$1,000.
- He says the more reasons a trade has, the more he is willing to risk on it, but gives no numbers.

DO NOT COPY HIS CHALLENGE RISK

Risking 100% of an account on a trade means one loss ends it. An earlier attempt at the challenge grew \$100 to about \$330,000 and then lost it all in a single week, and he says he failed about five times before it worked. His percentages come from a high-risk challenge made for video, not from a rule for normal trading.

Choose your own risk per trade, and make it an amount you can lose many times in a row. Many traders use 1 to 2% of the account as a starting point (this is general practice, not from the course).

PART 10

Manage the trade

Set and forget

This is the heart of his trade management. Once you enter, you do nothing until the stop or the target is hit.

- **Never close before the stop or the target.** He allows an exception roughly once in 20 trades.
- **Do not let emotions change your decision.** The plan was made when you were calm. After entry, watch the chart to see whether the trade still makes sense, not the profit and loss number.
- Expect a small drawdown right away, because of the spread. Do not panic in drawdown.
- **Live your life.** Set alerts and walk away. Hold times of 2 to 3 days on higher-timeframe setups are normal.

Alerts

Put a price alert at the level you are waiting for (for example the neckline, or a structure point a 4-hour candle needs to close beyond). When it rings, check the chart and act only if the plan says yes. He sometimes sets two alerts close above and below price to "trap" it.

When he does close early (optional, for experts)

These are things he mentions doing in some live trades, not rules of the system. For a sell (mirror for buys):

- The 30-minute chart breaks above its last structure point.
- Price reaches a structure point near the target and a candle **closes back above** the line: close the trade. If it closes under the line instead, keep holding.
- The structure clearly starts to shift against you.
- If a **daily** candle closes under a previous structure level, hold for a long time ("set and forget").
- When price runs far past your target, you may close at a point you choose instead of getting greedy.

Accepting the outcome

- **Wick-outs happen.** You can be stopped out by a wick, and then price runs to your target without you. He accepts it: "If you want to avoid a wick out, don't trade."
- **Missed profit is not a loss.** If the target is hit and price keeps going, you made money and you move on.
- **Never try to catch up for lost time.** It "puts you in a deeper hole".
- No trade is guaranteed. Ten reasons can still lose.

EXAMPLE: SCALING IN WITH ONE TARGET

On a GBPCHF sell he entered three times: on the breakout of a tight range, then on a 15-minute pullback after an engulfing candle, then at the bottom of a rejection candle. All three shared the same stop and the same target, and he let it run to the target (about 1:2.7). He also split larger positions into several orders to limit slippage (poor fills) on the exit.

PART 11

Your weekly and daily routine

Once a week: pick your pairs

He calls this his **Sunday swings**. It is a weekly analysis session to choose the best markets of the week.

- 1 List your watchlist (about 10 markets you are focusing on).
- 2 Read the structure on weekly, daily and 4-hour for each.
- 3 Apply the agreement check (Part 6). This removes about half.
- 4 Mark the zone and AOIs on the survivors.
- 5 Keep the best 2 or 3. Set alerts at the AOIs. Add a note on each chart saying what you are waiting for ("waiting for a shift in structure", "waiting for my entry signal").

In his challenge he took only **one trade a week**, then stopped for the week. That was a personal rule of the challenge, not part of the strategy.

Each trading day

1:00 AM	Pre-London analysis. Check your shortlist and where price is relative to the AOIs. Check the news calendar for red folders.
3:00 AM	London opens. Entries are allowed from before this time through the London session.
8:00 AM	New York opens. The overlap adds volatility. Last good entries around 9 to 10 AM.
10:30 AM	No new trades after this time.
Rest of day	Leave open trades alone. Alerts do the watching.

He says only that his pre-London analysis starts at 1:00 AM. The contents of that hour are a sensible reading, not his exact routine.

The full walk-through, start to finish

- 1 Open the pair. Is it the right time of day?
- 2 Read weekly, daily and 4-hour structure. Do two in a row agree?
- 3 Mark the zone (HH-HL or LH-LL).
- 4 Find the weekly and daily AOIs inside the zone. Merge overlaps.
- 5 Is price at an AOI? If not, set an alert and leave.
- 6 Price arrives. Wait for a closed confirmation candle or a break-and-retest at the AOI, in the trend direction.
- 7 Check the extras (EMA, round number, previous level, pattern).
- 8 Draw the stop and target. Is the reward at least twice the risk?
- 9 Work out the lot size for the money you accept to lose.
- 10 Enter with a market order, stop and target in place. Set alerts at key levels, then leave the trade alone.

PART 12

The one-page checklist

Print this page and keep it by your screen. Every box must be ticked, except those marked *optional*.

A. Is it the right time and pair?

- ☐ Pair is on my watchlist and this week's shortlist
- ☐ Time is 1:00 to 10:30 AM New York (not Sydney/Tokyo)

B. Structure (weekly, daily, 4H)

- ☐ HH/HL or LH/LL placed on each chart, using candle bodies
- ☐ Only closed candles used; no wick breaks
- ☐ Two timeframes in a row agree (W+D or D+4H)
- ☐ I am trading **with** the trend

C. Zone and AOI

- ☐ Zone drawn (HH-HL or LH-LL)
- ☐ AOI is inside the zone
- ☐ At least 3 clean touches
- ☐ 5 to 60 pips tall (tight is better)
- ☐ Drawn on weekly or daily
- ☐ Price is **at** the AOI now
- ☐ Buying at support / selling at resistance

D. Entry signal

- ☐ Confirmation candle has **closed** at the AOI (engulfing, morning/evening star, rejection)
- ☐ OR break and retest completed
- ☐ Signal points the same way as the trend
- ☐ *Optional*: head and shoulders / double top neckline at the AOI

E. Extras (optional, add quality)

- ☐ All three timeframes agree
- ☐ Weekly and daily AOI overlap
- ☐ 50 EMA rejection
- ☐ Round number at the AOI
- ☐ Previous daily level at the AOI

F. The plan

- ☐ Stop just beyond the level that proves me wrong
- ☐ Target at the next structure point
- ☐ Reward is at least $2 \times$ risk
- ☐ Lot size from my chosen risk amount
- ☐ Market order, stop and target entered
- ☐ Alerts set. Now I leave it alone.

IF ANY CORE BOX IS EMPTY

Structure, an AOI at the price, and a confirmed entry signal are the three that cannot be skipped. If one is empty: **no trade**. Set an alert and come back.

Example: his own AUDCHF sell note (six reasons)

Weekly, daily and 4H all bearish · at a weekly resistance · weekly evening star · under a daily support/resistance level · rejection from the daily EMA · under the 4H EMA and structure.

Example: five reasons on an AUDJPY buy

Strong bullish trend · two timeframes in sync · area of interest · break and retest · morning star with a doji.

PART 13

What this guide cannot tell you

This guide is faithful to the course, which means it also carries the course's gaps. Know them before you rely on it.

What is missing

Gap	What the course says
The real entry signal	He says there is one and he does not discuss it (livestream only). The candle signals in Part 8 are what he shows.
Normal risk per trade	Never stated. Only the challenge ladder and small teaching examples.
Exact definitions	No numbers for a "significant" swing, a "clean elbow", a "touch", a "slowdown", or how big a doji's body can be.
EMA	Only the 50 EMA is named, and only once. No rule ties it to a timeframe.
News	No filter. Only "look at the red folders".
Loss limits	No daily or weekly loss limit, maximum trades or withdrawal rules.
Evidence	No back-test. He dislikes back-testing. Win rates he mentions are loose and inconsistent.

Small contradictions inside the course

Topic	What he said	What this guide uses
Timeframes in sync	"Two in a row", "all three", "weekly and daily" at different times	Two in a row is the minimum; all three is best
Which timeframes get AOIs	Weekly, daily and 4H at one point; weekly and daily only later	Weekly and daily only (his later, clearer rule)
AOIs per chart	"Four or five" once; "one, maybe two, max three" later	Up to three
Window end	"10:00" and "10:30"	10:30 AM New York
Required reasons	"No minimum" vs "if the plan isn't checked off, don't trade"	The three core items are mandatory; extras are not
Closing early	"Never" vs a few early exits in live trades	Hold to the stop or target by default
Teaching samples	Stop and target numbers on screen sometimes differ from what he says	Work out your own from the chart

Reliability of this guide

- It was written from the video's auto-generated captions plus screenshots of the charts. Machine captions contain mistakes, and some numbers read from the screen are approximate.
- The video's chapter titles do not always match what is taught under them (for example, "Confluence Trading" is mainly market-structure basics), so this guide follows the content, not the titles.
- It describes one trader's method from one course. It does not prove the method is profitable. Any profit figures in the video are the creator's own claims.

THE RISK OF LOSING MONEY

Forex trading with leverage can lose money quickly. Practise on a demo account first. Never risk money you cannot afford to lose. This guide is for education and is not personal financial advice.

APPENDIX A

Glossary

Alert	A TradingView price alarm at a level you are waiting for.
AOI (Area of Interest)	A support/resistance zone where price has reacted before. At least 3 touches, 5 to 60 pips tall, inside the HH-HL or LH-LL zone, drawn on weekly and daily.
Base / quote currency	The first and second currency of a pair. Price up means the base is stronger; price down means the quote is stronger.
Body	The thick part of a candle, from open to close.
BOS / CHoCH / shift of structure	Three names for the same thing: the break of the HL (uptrend) or LH (downtrend), which flips the trend.
Break and retest	A body closes beyond a zone, price returns to test it, gets rejected, and you enter.
Breakout	Entering as soon as a body closes beyond a zone, without waiting for the retest.
Bullish / bearish	Bullish: higher highs and higher lows. Bearish: lower lows and lower highs.
Confluence	A reason to take a trade. More reasons make a better trade.
Doji	A candle with almost no body, showing indecision.
Elbow	A turning point on a chart. Structure points are elbows.
EMA (50)	The 50-period exponential moving average. Above it acts as support, below it as resistance. An optional extra.
Engulfing	The last candle's body covers the bodies of the last two candles.
Entry signal	The confirmation at the AOI that tells you to enter.
Evening star / morning star	A doji followed by an engulfing candle covering the last two candles. Evening for sells, morning for buys.
Head and shoulders	A reversal pattern. Valid only after the horizontal neckline breaks; you enter on the retest.
HH, HL, LH, LL	Higher high, higher low, lower high, lower low.
Inside (the structure)	Price sitting between the current HH and HL (bullish) or LH and LL (bearish).
Lot	The size of a position. A standard lot is 100,000 units.
Market execution	Entering immediately at the current price.
Neckline	The horizontal line at the previous structure point in a head and shoulders. It sits at an AOI.
No gaps candles	A TradingView indicator that fills gaps so each candle opens at the previous close.

Pip	A small unit of price movement (0.0001 for most pairs, 0.01 for yen pairs).
Retest	Price returning to a broken level to test it.
Risk:reward (R:R)	Reward divided by risk. At least 1:2 is required.
Set and forget	After entering, do nothing until the stop or target is hit.
Snake trick	Start at a new extreme and walk backwards to the first clean turn to find its partner point.
Spread	The broker's small fee built into the price.
Stop loss	The price where a losing trade is closed automatically.
Take profit (target)	The price where a winning trade is closed automatically.
Top-down analysis	Reading weekly, then daily, then 4-hour to decide the trend.
Touch	One clear reaction (rejection) from an AOI.
Trap price	Drawing the HH/HL or LH/LL lines so price is boxed in a zone.
Trend timeframes	Weekly, daily and 4-hour: used for trend and AOIs.
Wick	The thin line on a candle showing where price has been. Counted as rejection but not used for structure breaks.
Wick fill	His name for an inverted hammer: the next candle is expected to fill the upper wick.
Zone	The area between HH and HL, or between LH and LL, where you look for trades.

APPENDIX B

Notes for app builders

This appendix is for anyone turning the strategy into software (for example a tool that scans a list of pairs and writes a report).

What a computer can do directly from price data

Task	Notes
Candle bodies, body-close breaks	Use closed candles only. Ignore the live candle.
Structure state machine per timeframe	Bullish/bearish, HH/HL/LH/LL levels, "inside the zone" test (Part 5).
Timeframe agreement and the zone	Two-in-a-row check, grade A when all three agree.
AOI checks	Zone height in pips, touch count, weekly and daily overlap, price at or above/below the AOI.
Candle signals	Engulfing over two bodies, doji, hammer, inverted hammer, morning and evening star.
Break and retest, H&S, double top	Detectable once the swing rule is chosen.
EMA(50), round numbers, previous daily levels	Simple calculations.
Session flags, pip value, lot size, R:R	Use New York time; compute pip value in the app instead of copying his calculator.

Decisions you will have to make (the course leaves them to the eye)

1. What is a "significant" swing (the clean-elbow test)? A common starting point is a fractal or ZigZag rule with a minimum size per timeframe, made adjustable.
2. What counts as one touch (distance tolerance, candles per touch)?
3. Where exactly to place the AOI box when several touches compete.
4. When a retracement has "stopped" (to confirm an HH or LL).
5. How far beyond the wick to put the stop (his one example: 10 to 15 pips).
6. Where daily and weekly candles start and end. Body-close tests depend on it; his market close is 5:00 PM New York.

Suggested report, per pair

Time window pass or fail; weekly, daily and 4-hour bias with the HH/HL/LH/LL prices; agreement grade (none, two, three); the zone and the weekly/daily AOIs (touches, pips) with the distance from price to the nearest one; EMA side on each timeframe; latest candle signal at the AOI; pattern state (potential, neckline broken, retested); suggested stop, target and R:R; lot size for the user's own risk setting; the Part 12 checklist with pass/fail and a "no trade" reason when a gate fails.

Data tip: TradingView has no public data feed for this; a candle data service is the usual route.

APPENDIX C

Where it is taught, and credits

Where each topic is taught in the video

The video is "The Trading Industry Will Hate Me for This FREE 10+ Hour Course" by fxalexg (Swing Trading Lab), 10 hours 36 minutes: <https://www.youtube.com/watch?v=grw58BlzotU>. Times are h:mm:ss.

Video time	What is taught
0:00 to 0:56	Markets, trading styles, currency pairs, chart types, first look at TradingView
0:56 to 1:29	Timeframes, candles and wicks, trading sessions, platforms, news calendar
1:29 to 2:15	Broker and MetaTrader demo, TradingView setup, alerts, watchlist, drawing tools
2:15 to 3:12	More tools, lot size, order types, fundamentals vs price action, first definition of structure
3:12 to 4:01	Market structure: HH/HL/LL/LH, body closes, snake trick
4:01 to 4:45	Structure replay, confirmed vs current, first top-down analysis
4:45 to 5:35	Structure on AUDJPY, two timeframes in sync, the zone, AOI basics
5:35 to 6:40	AOI rules in full, break of structure, break and retest, candlestick patterns
6:40 to 7:14	Engulfing and star candles, head and shoulders
7:14 to 8:25	Head and shoulders wrap-up, the 50 EMA, confluence trading, a recorded NZDUSD trade, trade management
8:25 to 9:48	The \$100 to \$1M challenge: risk ladder, risk:reward, weeks 1 to 8
9:48 to 10:36	Challenge weeks 9 to 14, short recap, close

Credits and notes

- All strategy ideas and teaching examples belong to their creator, fxalexg / Swing Trading Lab. This guide is an independent summary for study. It paraphrases the course and quotes only short phrases. To learn from the source, watch the video.
- Diagrams are original drawings made for this guide. They are not real prices and not screenshots from the video.
- Detailed study notes (with timestamps and open questions) were used to prepare this guide.